

Health Economics

ECON 3541

Course Info —

-  M & W 10:05 - 11:30 am
-  Coles Tower - 1609 (Harrison McCann Lounge)

Instructor Info —

-  **Seeun Park**
(pronounced SEH-n; she/her)
-  Student Hrs:
M, W 3 - 4:30 pm (drop-in)
R (by appointment)
-  Hubbard Hall - 113
-  s.park@bowdoin.edu

1 Overview

This course examines how economists use data and empirical methods to study health, health care, and health policy. The course emphasizes methods literacy and applied empirical work, focusing on how to read, interpret, and evaluate empirical research and how to work with real-world health data.

Topics are organized around key themes such as health care demand, health insurance, provider behavior, health care systems in the U.S. and other countries, access to care, and contemporary policy issues, including the Affordable Care Act ~~and the opioid crisis~~.

Overall, the course aims to go beyond simply knowing the topics covered in health economics. Instead, it seeks to spark curiosity and show how economists use data and evidence to study health-related issues in practice.

2 Learning Objectives

By the end of the course, students will be able to:

1. **Apply** basic economic reasoning to **analyze** health, health care, and health policy issues.
2. **Read** and **interpret** empirical research in health economics, including identifying research questions, data sources, empirical strategies at an intuitive level, and main findings.
3. **Work with** real-world health data to **produce** descriptive statistics, figures, and basic empirical analyses using Stata.
4. **Develop** and **explore** a health-related question of the student's choice using economic intuition and empirical evidence.
5. **Communicate** economic insights clearly in written and visual form.

3 Course Materials and Devices

- ~~■ **Slides and One-Page Notes:** Slides and short one-page notes will introduce key concepts and guiding questions and will be posted on Canvas before class.~~
- **Readings and Media:** The course will use academic papers, policy reports, and selected media materials to examine real-world health and health policy issues.
- ~~■ **Textbook (Recommended, Not Required):** The textbook is *Economics of Healthcare: A Brief Introduction* by Andrew Friedson. It is recommended as a background resource but not required.~~
- **Canvas:** Canvas will be the primary platform for course materials, announcements, assignments, submissions, and feedback.
- **Hypothes.is:** A social annotation tool accessed through Canvas for shared annotation and discussion of course readings.
- **Shared Documents:** Shared documents (e.g., Google Docs) may be used for in-class activities and group work and will be linked through Canvas.
- **Statistical Software (Stata):** We will use Stata for data analysis.

4 Grading Scheme

Here's how your grade will be determined, with each assessment weighted as follows:

Preparation and Participation	33%
Reading Preparation	12%
In-Class Engagement	21%
Lab Assignments	10%
2 assignments (5% each)	
Project	57%
Milestone 1	10%
Milestone 2	10%
Milestone 3	10%
Presentation	5%
Final Paper	22%

Final course grades are based on the weighted average of all course components. There is no fixed curve. Grades follow the standard scale (percentages):

- A : [95,100] A-: [90,95)
- B+: [87,90) B : [83,87) B-: [80,83)
- C+, C, C- : [60,80)
- D: [30,60)
- F: <30

Final scores within 0.20 percentage points of a grade cutoff (e.g., 94.80%) may be rounded at the instructor's discretion, taking attendance and participation into account. Based on overall class performance, the cutoff for an A may be modestly lowered. To ensure consistency across students, extra credit is not offered.

4.1 Reading Preparation (Prep)

Reading Preparation (Prep) is assessed through short pre-class annotations on assigned readings using Hypothes.is. These annotations are intended to help you engage actively with course materials, identify key ideas, and raise questions for class discussion.

- Credit is based on completion rather than correctness or depth.
- Preps are due by **Sunday at 10:00 pm**, *before the corresponding Monday class*, so that I can review them in advance and incorporate your questions into class discussion.
- There are **12 Preps**, and you may miss up to three weeks without penalty. Completing at least 9 Preps results in full credit (12 points); otherwise, points are awarded one-for-one based on the number of completed Preps (e.g., **9+ Preps = 12 points**; 8 Preps = 8 points).
- **Late Preps** submitted after Sunday but before Monday at 10:00 am are eligible for partial credit (80%).

4.2 In-Class Engagement

In-Class Engagement reflects active participation in class activities, including small-group discussions, literacy and lab sessions, and peer review. Engagement may take many forms, such as contributing to group work, sharing ideas in writing, or speaking during class activities. This component is evaluated based on consistent effort rather than having correct answers.

- A total of **21 engagement points** are available over the semester (11 Monday discussion activities, 3 lab sessions, 3 literacy sessions, 2 discussion days, and 2 peer-review activities).
- You may miss up to three engagement activities without penalty. Earning at least 18 points results in full credit (21 points); otherwise, points are awarded one-for-one (e.g., **18⁺ points = 21 points**; 17 points = 17 points).
- Because engagement points are based on in-class participation, they are not eligible for late submission.

4.3 Lab Assignments

You will complete two assignments using County Health Rankings data. These assignments are designed to help you practice creating figures, descriptive statistics, and regression tables in Stata. You may work on these assignments collaboratively, but each student must submit their own work.

- If you work together, each student must submit their own work and list the names of any collaborators on the submission.
- Lab assignments are due by **Wednesday at 10:00 am** unless otherwise noted.
- **Late submissions** receive up to 80% credit if submitted by Sunday at 11:59 pm of the due week.

4.4 Project

The final project is a half-semester empirical project in which you apply economic reasoning and data analysis to a health-related question of your choice using data from the Medical Expenditure Panel Survey (MEPS), accessed through IPUMS. The goal of the project is not to produce a fully polished research paper, but to practice how economists formulate questions, work with data, interpret results, and communicate findings clearly.

The project will be completed in stages, with structured milestones throughout the semester. These milestones are designed to provide feedback and help you stay on track. Additional guidance and grading criteria for each milestone will be provided as the project progresses.

Due dates are listed below and in the course schedule.

Stage	Deadline*	Goals
Milestone 1	Fri, April 3	Research question, research positioning (related literature), and proposed empirical approach
Milestone 2	Fri, April 17	Data preparation, descriptive statistics, and figures
Milestone 3	Fri, April 31	Regression results and interpretation
Presentation	Mon, May 4 Wed, May 6	In-class presentation of project
Final Paper	Tue–Fri, May 12–15	Target Tue; grace until Fri, 11:59 PM

* All deadlines are 11:59 PM ET.

▪ Late Project Policy

- **Milestones:** Late submissions are eligible for partial credit (80%) if submitted by Sunday at 10:00 pm of the due week.
- **Presentation:** If you miss your class presentation due to health reasons or emergency circumstances, *you will be scheduled for an individual presentation.*
- **Final Paper:** Submissions received by May 16 at 11:59 pm are eligible for partial credit (80%).

5 Attendance

Because this course relies heavily on in-class activities and group work, regular attendance is expected. If you are unable to attend class, please send me a brief email when possible.

6 Academic Integrity

Academic integrity means doing your own work honestly and giving proper credit when you use others' ideas. You can read more about Bowdoin's Academic Honor Code and related policies on Canvas.

6.1 Uses of Generative AI

Generative AI tools may be used as learning aids (e.g., brainstorming, revising drafts, troubleshooting code, or checking citations), but not as substitutes for your own thinking, writing, or analysis. All submitted work should reflect your ideas, understanding, and voice. *More detailed expectations will be discussed in class.*

7 Communication

7.1 Canvas

Course announcements will be posted on **Canvas**. Please turn on notifications.

7.2 Student Hours

The best way to get support is during Student Hours, which are dedicated to helping you with this course. I strongly encourage you to stop by my office. If Student Hours don't fit your schedule, email me to set up an appointment.

7.3 Email

I aim to respond within 24 hours, though messages sent after 6 PM may be answered the next day.

When emailing me, include **[Econ 3541]** in the subject line (e.g., [Econ 3541] Extra Student Hour).

8 Tips for Success in this Class

1. **Stay engaged:** Active participation and collaboration generate positive externalities for everyone.
2. **Start early:** Give yourself enough time to read and watch assigned materials and to complete assignments and the final project.
3. **Check Canvas and email regularly:** Staying up to date will help you avoid missing important announcements.
4. **Reach out for help or clarification:** I'm here to support you.

9 Student Support Resources

9.1 Accommodations

You may need accommodations for different reasons, such as a documented disability or observing a major religious holiday.

- **Disability accommodations:**
 - Register with the **Student Accessibility Office**.
 - Once approved, please meet with me within the first 2 weeks of class (or as soon as you become aware of your needs) to ensure they are implemented.
- **Religious observances:** You may make up coursework missed due to observing a major religious holiday, provided you make arrangements with me in advance and notify me within the first 2 weeks of class.

9.2 Academic, Personal, and College Support

Bowdoin provides many resources to support your success, well-being, and sense of belonging in this course and beyond.

- **Counseling Services:** Confidential mental health support and resources.
- **College Policies:** Bowdoin is committed to diversity, inclusion, and a safe learning environment. This includes policies related to Title IX and mandated reporting. Full details and resources are available on Canvas.

10 Class Schedule

Week	Date	Topic	Subtopics ‡	Due
1. Building Foundations				
1	Jan 21	Introduction: Course Overview		
2	Jan 26	Topic 1: What Determines Health?		Prep 1
	Jan 28	Lab 1	Figures (CHR data)	
3	Feb 2	Topic 2: Demand for Health Care		Prep 2
	Feb 4	Literacy 1	How to Read an Empirical Paper	★ Lab 1
4	Feb 9	Topic 3: Demand for Insurance		Prep 3
	Feb 11	Lab 2	Tables (CHR data)	
5	Feb 16	Lab 2.5		
	Feb 18	(no class)	(no class)	★ Lab 2
6	Feb 23	Topic 4: Physician Behavior		Prep 4
	Feb 25	Lab 3	Introduction to MEPS and Research Resources	
7	Mar 2	Topic 5: Hospital Behavior		Prep 5
	Mar 4	Lab 4	MS 1: Variable Selection	
8	Mar 9	<i>Spring Break</i>		
	Mar 11	<i>Spring Break</i>	Begin thinking about project topics	
9	Mar 16	<i>Spring Break</i>		
	Mar 18	<i>Spring Break</i>	Identify a preliminary project topic	

Reading Preparations (Preps) are due by **10:00 pm on Sunday**, *before the corresponding Monday class*.

* **Lab Assignments (Labs)** are due by **10:00 am on the specified dates**.

‡ Literacy session subtopics are tentative and may be adjusted slightly based on class progress.

Week	Date	Topic	Subtopics ‡	Due
2. Applying Ideas: Final Projects				
10	Mar 23	Topic 6: Health Policy		Prep 6
	Mar 25	Literacy 2	RD	
11	Mar 30	Topic 6: Health Policy (cont.)	Affordable Care Act	Prep 7
	Apr 1	Literacy 3	Fixed Effects, DiD	★MS 1
12	Apr 6	Topic 7: Health Care Systems	Design a Health Care System	Prep 8
	Apr 8	Lab 5	MS 2: Data Cleaning and Descriptive Analysis	
13	Apr 13	Topic 8: Drugs and Market Power		Prep 9
	Apr 15	Literacy 4	Regression Clinic (Project-Focused)	★MS 2
14	Apr 20	Topic 9: Externalities		Prep 10
	Apr 22	Lab 6	MS 3: Regression Analysis	
15	Apr 27	Topic 10: Barriers to Care		Prep 11
	Apr 29	Discussion 2	Reflections and Favorite Topics	★MS 3
16	May 4	Project Presentations		
	May 6	Project Presentations		
	May 11	<i>Reading Period (May 7–10)</i>		
	May 14	Final Paper†		

Reading Preparations (Preps) are due by **10:00 pm on Sunday**, before the corresponding Monday class.

* **Milestones (MS)** are due by **11:59 pm on Friday** of the specified week.

† The **final paper** has a target due date of **Tue, May 12**, with a grace period until **Fri, May 15 at 11:59 pm**.

‡ Literacy session subtopics are tentative and may be adjusted slightly based on class progress.

11 Reading & Media List

All required readings and media will be available on Canvas.

■ Week 1 (Jan 21)

- ☐ Video: *What Does U.S. Health Care Look Like Abroad?*. NYT Opinion. (watch here)

■ Week 2 (Jan 26)

– Topic 1: What Determines Health?

- ☐ Cutler, David M., Angus Deaton, and Adriana Lleras-Muney. 2006. *The Determinants of Mortality*. *Journal of Economic Perspectives*.
 - Skim to get the big picture.

■ Week 3 (Feb 2)

– Topic 2: Demand for Health Care

- ☐ Brook, Robert et al. 2007. *The RAND Health Insurance Experiment*. RAND Corporation. (link)
- ☐ Finkelstein, Amy, et al. 2012. *The Oregon Health Insurance Experiment: Evidence from the First Year*. *Quarterly Journal of Economics*.
- ☐ Video: *A Terrible Guide to the Terrible Terminology of U.S. Health Insurance*. (watch here)

■ Week 4 (Feb 9)

– Topic 3: Demand for Insurance

- ☐ Gross, Tal, and Matthew J. Notowidigdo. 2011. *Health Insurance and the Consumer Bankruptcy Decision*. *Journal of Public Economics*.
- ☐ Einav, Liran, and Amy Finkelstein. 2018. *Moral Hazard in Health Insurance: What We Know and How We Know It*. *Journal of the European Economic Association*.
- ☐ Krugman, Paul. 2007. *Health Economics 101*. *New York Times*.
- ☐ Gladwell, Malcolm. 2005. *The Moral-Hazard Myth*. *The New Yorker*.

■ Week 5 (Feb 16)

– Topic 4: Physician Behavior

- ☐ Finkelstein, Amy, Matthew Gentzkow, and Heidi Williams. 2016. *Sources of Geographic Variation in Health Care*. *Quarterly Journal of Economics*.
- ☐ Rehavi, M. Marit, and Laura M. Johnson. 2016. *Physicians Treating Physicians: Information and Incentives in Childbirth*. *American Economic Journal: Economic Policy*.
- ☐ Frakes, Michael D., and Jonathan Gruber. 2019. *Defensive Medicine: Evidence from Military Immunity*. *American Economic Journal: Economic Policy*.

- **Week 6 (Feb 23)**

- **Topic 5: Hospital Behavior**

- ☐ Eliason, Paul J., et al. 2018. *Strategic Patient Discharge: The Case of Long-Term Care Hospitals*. *American Economic Review*.
 - ☐ Eliason, Paul J., et al. 2020. *How Acquisitions Affect Firm Behavior and Performance: Evidence from the Dialysis Industry*. *Quarterly Journal of Economics*.

- **Week 7 (Mar 2)**

- **Topic 6: Health Policies**

- ☐ Card, David, Carlos Dobkin, and Nicole Maestas. 2009. *Does Medicare Save Lives?* *Quarterly Journal of Economics*.
 - ☐ Audio: *Happy 60th, Medicare and Medicaid!* KFF Health News. (listen here)
 - ☐ Video: *Medicaid, explained: Why It's Worse to Be Sick in Some States Than Others*. Vox. (watch here)
 - ☐ Video: *The Real Reason American Health Care Is So Expensive*. Vox. (watch here)

- **Weeks 8–9 (Mar 9–18)**

- Spring Break (no readings)

- **Week 10 (Mar 23)**

- **Topic 6: Health Policies (continued)**

- ☐ Gruber, Jonathan, and Benjamin D. Sommers. 2019. *The Affordable Care Act's Effects on Patients, Providers, and the Economy: What We've Learned So Far*. *Journal of Policy Analysis and Management*.
 - ☐ Kaestner, Robert, et al. 2017. *Effects of ACA Medicaid Expansions on Health Insurance Coverage and Labor Supply*. *Journal of Policy Analysis and Management*.

- **Week 11 (Mar 30)**

- **Topic 7: Healthcare Systems**

- ☐ Video series: *Health Care Systems Around the World*. (watch here)

- **Week 12 (Apr 6)**

- **Topic 8: Drugs and Market Power**

- ☐ Blume-Kohout, Margaret E., and Neeraj Sood. 2013. *Market Size and Innovation*. *Journal of Public Economics*.
 - ☐ Dorfman, Jeffrey H. 2016. *The EpiPen Episode Teaches Two Economic Lessons*. *Forbes*. (link)
 - ☐ Video: *How Big Pharma Blocks Cheaper Drugs*. (watch here)

- **Week 13 (Apr 13)**

- **Topic 9: Externalities**

- ☐ Currie, Janet, and Reed Walker. 2011. *Traffic Congestion and Infant Health: Evidence from E-ZPass*. *American Economic Journal: Applied Economics*.
 - ☐ Carpenter, Christopher S., and Emily J. Lawler. 2019. *Direct and Spillover Effects of Middle School Vaccination Requirements*. *American Economic Journal: Economic Policy*.

- **Week 14 (Apr 20)**

- **Topic 10: Barriers to Care**

- ☐ Lu, Yao, and David J. Slusky. 2016. *The Impact of Women's Health Clinic Closures on Preventive Care*. *American Economic Journal: Applied Economics*.
 - ☐ Alsan, Marcella, and Marianne Wanamaker. 2018. *Tuskegee and the Health of Black Men*. *Quarterly Journal of Economics*.

- **Week 15 (Apr 27)**

- ★ *Students are welcome to suggest papers from any health-economics topic, and this session may be adapted accordingly.*

- **Topic 11: Opioid Crisis**

- ☐ Cutler, David M., and Edward L. Glaeser. 2021. *When Innovation Goes Wrong: Technological Regress and the Opioid Epidemic*. *Journal of Economic Perspectives*.
 - ☐ Soliman, Adam. 2025. *Disrupting Drug Markets: The Effects of Crackdowns on Rogue Opioid Suppliers*. *American Economic Journal: Economic Policy*.

Readings and media may change based on class pacing or interests.
Any updates will be announced on Canvas.

12 Important Dates

Date	Event
Tue, Feb 3	<i>Add/Drop ends at 5:00 PM</i>
Mon, Feb 4	Lab 1 due (10:00 AM)
Wed, Mar 11	<i>Extended Course Drop ends</i>
Wed, Feb 18	Lab 2 due (10:00 AM)
Sun, March 7 - Sun, March 22	<i>Spring break</i>
Wed, April 3	Milestone 1 due (11:59 PM)
Wed, April 17	Milestone 2 due (11:59 PM)
Wed, April 31	Milestone 3 due (11:59 PM)
Mon, May 4	Presentation (during class)
Wed, May 6	Presentation (during class)
Wed, May 6	Last day to initiate the <i>Incomplete</i> for the course
Tue–Fri, May 12–15	Final Paper target Tue; grace until Fri, 11:59 PM